

STANDARD OPERATING PROCEDURE OF EARLY-STAGE FUNDING SUPPORT

1. Criteria for Early-Stage Funding Support i.e. Success fee of 2% (Grant) and Matching Loan Amount:

Startup must be certified under Bihar Startup Policy 2017/ 2022. If the startup has raised fund from recognised angel investors (Note-1)/ SEBI registered Category-1 Alternate Investment Funds, it may be entitled to receive an Early-stage funding Support i.e. Success fee of 2% of fund raised by them will be given in the form of grant and a Matching loan upto 100% of fund raised by them up to maximum amount of Rs. 50 Lakhs. Women Enterprise & SC/ST/Differently abled Enterprises will get additional 5% & 15% respectively. Such Start-up's may apply for Early-Stage Funding Support through our portal (startup.bihar.gov.in) or through mail (id- startup-bih@gov.in) in case portal is non-functional. After scrutiny of the documents, Start-ups will be provided Early-Stage Funding Grant and Matching Loan.

2. Terms of Repayment of Matching Loan:

Repayment of Loan to be done by startup in Equated Monthly Installment (EMI) in next 7 years after a moratorium of 2 years. The rate of interest shall be 5% per annum (Simple Interest).

3. Documents required for Disbursement of Early-Stage Funding Support to Startup:

- a. Proof regarding investment availed from recognised angel investors /SEBI registered Category – I AIFs.- Copy of agreement/Term Sheet, etc
- b. Bank Account Statement of Startup highlighting investment received.
- c. Equity Dilution proof or investor name in the shareholding distribution of startup.- Copy of Board Resolution duly signed, Copy of Form MGT-14 duly filed with Registrar of Companies, Copy of Form PAS-3 duly filed with Registrar of Companies, Updated Memorandum of Association duly filed with Registrar of Companies.
- d. Fund Utilization plan, project plan with milestones and time frame.

4. Disbursement of Early-Stage Funding Support Amount:

Early-Stage Funding Support shall be disbursed to startup after approval from SMIC.

Note:

1. Recognised angel investors – As defined in, Regulation 19A, Chapter III-A, Securities and Exchange Board of India (SEBI).

“Angel Investor” means any person who proposes to invest in an angel fund and satisfies one of the following conditions, namely,

- a. An individual investor who has net tangible assets of at least two crore rupees excluding value of his principal residence, and who:
 - i. Has early-stage investment experience, or
 - ii. Has experience as a serial entrepreneur, or
 - iii. Is a senior management professional with at least ten years of experience.

Explanation: For the purpose of this clause, ‘early stage investment experience’ shall mean prior experience in investing in start-up or emerging or early-stage ventures and ‘serial entrepreneur’ shall mean a person who has promoted or co-promoted more than one start-up venture.

- b. A body corporate with a net worth of at least ten crore rupees, or
- c. An Alternative Investment Fund registered under these regulations or a Venture Capital Fund registered under the SEBI (Venture Capital Funds) Regulations, 1996.